

Circular NR-04 — Climate Stress Testing — New Mandatory Supervisory Exercise

Reference:	FRA/NR/2025/004	Issue Date:	12 Apr 2025
Effective Date:	01 Jan 2026	Response Deadline:	30 Nov 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. New Exercise

The Authority is introducing mandatory annual climate stress testing for all banks with total assets exceeding USD 1 billion. This is a new supervisory requirement with no predecessor. The first submission is due 30 Nov 2025 covering scenarios as of 30 Sep 2025 balance sheet date.

2. Scenarios

Firms must model the following mandatory scenarios: (a) Orderly transition — net zero by 2050, carbon price rising to USD 150/tonne by 2030; (b) Disorderly transition — delayed action until 2030 then rapid adjustment; (c) Hot house world — no meaningful policy action, 3°C+ warming by 2100. Results must be reported at portfolio and sector level.

3. Data Requirements

Firms must collect Scope 1 and 2 emissions data for all corporate lending counterparties with exposures exceeding USD 10 million by 30 Jun 2025. Physical risk data for real estate collateral must be sourced from approved data providers.

4. Governance

The Chief Risk Officer must sign off on stress test methodology and results. Results must be presented to the Board Risk Committee before submission to the Authority.